

All the predictable features of the financial aberration were here on view. There was large leverage turning on the small interest payments by the Treasury on the public debt taken over. Individuals were dangerously captured by belief in their own financial acumen and intelligence and conveyed this error to others. There was an investment opportunity rich in imagined prospects but negligible in any calm view of the reality. Something seemingly exciting and innovative captured the public imagination, in this case the joint-stock company, although, as already noted, it was of decidedly earlier origin. (The great chartered companies trading to India and elsewhere were by now a century old.) And as the operative force, dutifully neglected, there was the mass escape from sanity by people in pursuit of profit.

Exceptional, however, was the notice this latter circumstance was eventually accorded. Charles Mackay, in a singularly acute account of the South Sea Bubble, pointed out the truth:

[In the autumn of 1720,] public meetings were held in every considerable town of the empire, at which petitions were adopted, praying the vengeance of the legislature upon the South-Sea directors, who, by their fraudulent practices, had brought the nation to the brink of ruin. Nobody seemed to imagine that the nation itself was as culpable as the South-Sea company. Nobody blamed the credulity and avarice of the people—the degrading lust of gain...or the infatuation which had made the multitude run their heads with such frantic eagerness into the net held out for them by scheming projectors. These things were never mentioned.

Nor in the aftermath of modern speculation are they ever mentioned, as will amply be evident.